# Management's Discussion and Analysis

## THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or "the Company"), 88.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,400 people at its operations across North America and in the United Kingdom ("U.K.").

## OVERVIEW

In 2007, earnings from operations before restructuring and other related costs ("Adjusted Operating Earnings")[i] increased by 14.1% to $129.5 million (2006: $113.4 million) and adjusted earnings per share ("Adjusted EPS")[i] increased 7.1% to $3.31 per share (2006: $3.09 per share). All figures are reported in Canadian dollars except as otherwise specified.

## SELECTED FINANCIAL INFORMATION

The following is a summary of audited financial information for the three years ended December 31, 2007:

| (Thousands of dollars except "EPS" information) | 2007 | 2006 | 2005 |
|---|---|---|---|
| Sales | **$ 1,513,179** | $ 1,334,932 | $ 1,227,005 |
| Adjusted Operating Earnings[i] | **129,454** | 113,410 | 111,072 |
| Net earnings | **83,751** | 53,550 | 74,922 |
| Basic EPS | **$ 3.30** | $ 2.11 | $ 2.95 |
| Diluted EPS | **$ 3.30** | $ 2.11 | $ 2.93 |
| Adjusted EPS[i] | **$ 3.31** | $ 3.09 | $ 3.07 |
| Total assets | **998,182** | 924,268 | 761,363 |
| Net debt[i] | **34,061** | 40,661 | 20,927 |
| Return on net assets (RONA)[i] | **11.6%** | 12.0% | 12.3% |
| Cash flow from operations | **122,115** | 106,342 | 115,094 |
| Cash dividends per share | **$ 0.24** | **$ 0.24** | **$ 0.24** |

## NON-GAAP MEASURES

The Company reports its financial results in accordance with Canadian GAAP. However, the Company has included certain non-GAAP financial measures and ratios in this analysis which Management believes provide useful information in measuring the financial performance and financial condition of the Company. These measures do not have a standardized meaning prescribed by Canadian GAAP and therefore, may not be comparable to similarly titled measures presented by other publicly traded companies, nor should they be construed as an alternative to other financial measures determined in accordance with Canadian GAAP.

### a) Adjusted Operating Earnings

"Adjusted Operating Earnings" is defined as earnings from operations before restructuring and other related costs. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of continuing operations. Following is a reconciliation of earnings from operations as reported in the Company's financial statements to Adjusted Operating Earnings.

### Operating Earnings Reconciliation

| (Thousands of dollars) | 2007 | 2006 | 2005 |
|---|---|---|---|
| Earnings from Operations, as reported | **$ 124,835** | $ 107,926 | $ 106,349 |
| Restructuring and other related costs | **4,619** | 5,484 | 4,723 |
| Adjusted Operating Earnings | **$ 129,454** | $ 113,410 | $ 111,072 |

(i) Refer to Non-GAAP measures above.

### b) Adjusted EPS

"Adjusted EPS" excludes restructuring and other related costs, net of taxes, and certain non-recurring taxation adjustments. Management believes that this is the most appropriate basis on which to evaluate financial results, as the taxation adjustment and restructuring and other related costs are not representative of continuing operations.

### EPS Reconciliation

| (Per share) | 2007 | 2006 | 2005 |
|---|---|---|---|
| Reported EPS | **$ 3.30** | $ 2.11 | $ 2.95 |
| Restructuring and other related costs, net of tax | **$ 0.12** | $ 0.15 | $ 0.12 |
| Tax benefit from lower future tax rates[i] | **$ (0.11)** | - | - |
| U.S. tax adjustment[ii] | - | $ 0.83 | - |
| Adjusted EPS | **$ 3.31** | $ 3.09 | $ 3.07 |

(i) During 2007, the Company recorded a net tax benefit of $2.8 million related to the enactment of lower future tax rates.
(ii) In Q3 2006, the Company recorded a non-recurring tax expense of $21.2 million to write down future tax assets that originated in 2006 and earlier years related to its U.S. frozen bakery business.

### c) Return on Net Assets ("RONA")

RONA is calculated by dividing tax-effected earnings before restructuring and other related costs and before interest by average monthly net assets. Net assets are defined as total assets less cash, future tax assets and non-interest bearing liabilities. Management believes that this is the most appropriate way to reflect financial performance relative to assets employed.

### d) Earnings Before Interest, Tax, Depreciation and Amortization ("EBITDA")

EBITDA is calculated as earnings before restructuring and other related costs and before interest and income taxes plus depreciation and intangible amortization.

### e) Net Debt

Net debt is calculated as long-term debt and bank indebtedness, less cash and net of currency swaps.

### RISING INPUT PRICES

The "food for fuel" initiative sponsored by the U.S. Government has had the result of increasing the demand for grains that are used for ethanol production and diminishing land set aside for other crops such as wheat. Combined with strong demand from export markets and shortfalls in world crops, this has resulted in unprecedented increases in the price of wheat which is a material input into the Company's operations. The scale and speed of wheat price increases in 2007 that have continued in 2008, have materially increased the cost of production in the Company's operations. In addition, the Company experienced inflationary cost increases related to fixed costs in the manufacturing and distribution operations and higher dairy prices that affect the pasta and U.K. croissant product lines. All of these in combination have prompted Management to increase prices significantly and to find ways to improve efficiencies to offset these significant cost increases.

The following table outlines changes in wheat prices that have impacted the Company's business and financial results:

| | At December 31 | Annual Averages | | | |
|---|---|---|---|---|---|
| | 2007 | 2007 | 2006 | Change | 2005 |
| Wheat (USD per bushel)[i] | **$ 10.36** | **$ 6.41** | $ 4.67 | 37.2% | $ 3.55 |

(i) % change in average price calculated using daily close prices (Source: Bloomberg, CBOT)

## RESULTS OF OPERATIONS

The Company achieved solid results in the year despite the continuation of unprecedented rises in commodity prices for flour and dairy. The Company's results reflect its ability to manage this impact through a balanced combination of price increases and manufacturing and distribution efficiency improvements. Frozen Bakery earnings increased as contributions from acquisitions in the U.K. and operational efficiencies in North America positively impacted results. While the Fresh Bakery business balanced price and input costs, results for the year were impacted by the increased investment in marketing initiatives and inflationary costs.

Sales for the year increased 13.3% to $1.5 billion. Excluding acquisitions, sales increased by 5.3% for the year reflecting increased volumes in the U.K. and price increases across all the bakery businesses.

Adjusted Operating Earnings increased by 14.1% to $129.5 million for the year. Price increases in both the Frozen and Fresh Bakery segments offset rising input costs. This combined with improved operational efficiencies and the contribution from acquisitions resulted in favourable results for the year.

Since the beginning of 2008, wheat prices have continued to increase. In order to offset these impacts, further price increases during 2008 will be necessary. The timing of such price increases may not match the increase in wheat prices and other inflationary increases, but over the medium-term the Company expects to recover these increased costs through increased prices and operating efficiencies.

## OPERATING SEGMENTS

The Company's operations are classified into two primary business segments. Fresh Bakery includes fresh bakery products, specialty baked goods, hand-held snacks and fresh pasta and sauces. Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

## OPERATING REVIEW

The following table, which forms the basis of discussion in this document of the Company's results of operations, reflects sales and operating earnings by business group before restructuring and other related costs:

### Sales

| ($ millions) | 2007 | Change | 2006 | Change | 2005 |
|---|---|---|---|---|---|
| **Fresh Bakery** | **945.9** | 5.2% | 898.8 | 5.6% | 851.5 |
| **Frozen Bakery** | **567.3** | 30.1% | 436.1 | 16.1% | 375.5 |
| | **1,513.2** | 13.3% | 1,334.9 | 8.8% | 1,227.0 |

### Adjusted Operating Earnings

| ($ millions) | 2007 | Change | 2006 | Change | 2005 |
|---|---|---|---|---|---|
| **Fresh Bakery** | **88.4** | (5.9%) | 93.9 | 14.6% | 82.0 |
| **Frozen Bakery** | **41.1** | 110.7% | 19.5 | (33.1%) | 29.1 |
| | **129.5** | 14.1% | 113.4 | 2.1% | 111.1 |

### Fresh Bakery

Fresh Bakery sales for the year increased 5.2% to $945.9 million compared to $898.8 million last year, largely due to the benefit of price increases implemented during the year.

Adjusted Operating Earnings in the year decreased by 5.9% to $88.4 million compared to $93.9 million for the year. The business experienced an unprecedented rise in wheat costs that was partially mitigated by forward flour purchases during the year and a weaker U.S. dollar. While the Company was able to secure price increases to offset these rising input costs, increased spend on marketing initiatives, inflationary increases in manufacturing costs and an industry-wide volume decline in the fresh bread category had a negative impact on earnings.

### Frozen Bakery

Frozen Bakery sales increased by 30.1% to $567.3 million for the year. A significant portion of the increase reflected the contribution from acquisitions in the U.K. Organic growth was 5.3% for the year driven by volume growth in the U.K. bagel business and price increases.

Adjusted Operating Earnings for the year increased by 110.7% to $41.1 million from $19.5 million last year, primarily driven by the contribution from acquisitions and operational efficiencies in North America. For the U.K. Bakery operations, the benefits of price increases were not sufficient to offset the impact of higher input costs and investments in promotion and advertising. However, these headwinds were offset by the positive contribution of acquisitions and organic growth in bagel and other specialty bakery categories. During 2007, the U.K. business acquired La Fornaia Ltd. ("La Fornaia"), a specialty Italian baker and, responding to customer needs, invested in new capacity and operational efficiencies across the business. This included installation of a new high speed croissant line at the Maidstone bakery, and increases in cold storage and production capacity at the Rotherham bagel facility. Through these investments, the Company now operates one of the largest specialty bakeries in the U.K.

The North American frozen bakery operations recorded a solid improvement in Adjusted Operating Earnings compared to a low prior year comparative, by increasing volumes and prices to offset input cost increases. It also benefited from improved operating efficiencies, primarily driven by the resolution of operational issues experienced in 2006 at the Roanoke, Virginia facility. The Company also completed a large warehouse expansion at this facility that has optimized storage capacity and reduced third party storage costs and freight.

### Other Income

Other income for the year increased to $0.6 million from $0.4 million in 2006 due primarily to increased gains on sale of property and equipment.

### Restructuring and Other Related Costs

During 2007, the Company recorded $4.6 million in restructuring and other related costs ($3.2 million after-tax) primarily in respect of the closure and decommissioning of its bakery in Langley, British Columbia and the announced closure of a bagel facility in Toronto, Ontario. Also included were some lease termination costs related to the winding down of the fresh waffle business in Ontario.

### Interest Expense

Interest expense was $5.6 million for the year compared to $3.7 million in 2006. The increased interest expense was due to an increase in debt incurred to finance acquisitions in 2006 and 2007. The Company's average effective cost of borrowing for 2007 was approximately 4.8% (2006: 4.0%)

### Income Taxes

Income tax expense decreased to $36.0 million from $51.2 million in 2006 and the Company's effective tax rate decreased from 48.9% in 2006 to 30.1% in 2007. A reconciliation between statutory tax rates and the Company's effective tax rate is set out in Note 16 of the Consolidated Financial Statements. Following is a discussion of certain reconciling amounts:

- During the fourth quarter of 2007, there was a $2.8 million net decrease to future tax liabilities and assets due to income tax rate changes enacted in the quarter.
- During the third quarter of 2006, the Company recorded a tax expense of $21.2 million to write down future tax assets related to its U.S. frozen bakery business. In 2007, a future valuation allowance of $5.7 million was recorded against additional tax losses generated in the year.

### Pension Expense

Pension expense for the year was $10.4 million, consistent with $10.4 million in 2006. Components of pension expense are provided in Note 17 of the Consolidated Financial Statements.

## ACQUISITIONS AND DIVESTITURES

### 2008

On January 29, 2008 the Company acquired the shares of Aliments Martel Inc., a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec, for an initial purchase price of $42.4 million plus contingent consideration of up to $23.0 million based on financial performance over the next three years.

### 2007

On August 17, 2007 the Company acquired La Fornaia, a leading producer of a range of specialty Italian breads such as traditional ciabatta, organic breads and crisp breads for total consideration of £18.9 million ($40.3 million). The Company has allocated £3.7 million ($7.9 million) of the purchase price to the identifiable net assets of La Fornaia at the acquisition date and £15.2 million ($32.4 million) to goodwill. The Company has not yet finalized the purchase price allocation for this acquisition.

On February 26, 2007 the Company acquired 100% ownership in Pâtisserie Chevalier Inc. ("Chevalier") for $8.2 million. Chevalier is a leading producer of single-portion snack cake products in Quebec. The Company has allocated $6.4 million of the purchase price to the identifiable net assets of Chevalier at the acquisition date and $1.8 million to goodwill. As at December 31, 2007 the Company has not yet finalized the purchase price allocation for this acquisition.

### 2006

On November 27, 2006 the Company purchased The French Croissant Company Ltd. ("FCC") and Avance U.K. Limited ("Avance"), two related bakeries in the U.K. for total consideration of £29.2 million ($64.0 million). FCC produces and markets croissants and specialty goods across the U.K., and Avance is a leading supplier of fresh, frozen and long-life specialty bakery items. The Company has completed the purchase price allocation and has allocated $7.5 million to the identifiable net tangible assets of FCC and Avance and $56.5 million to goodwill and intangibles. The acquired intangible assets include $8.8 million of customer relationships that are being amortized on a straight-line basis over their useful lives to a maximum of 25 years.

On March 24, 2006 the Company acquired the assets and operations of Harvestime Limited ("Harvestime"), a bakery in Walsall, England for £1.0 million ($2.0 million). Harvestime is a producer of par-baked breads, rolls and specialty bakery products. As at December 31, 2006 the Company had finalized the purchase price allocation and goodwill of $0.7 million resulting from the transaction has been included in the total assets of the Frozen Bakery segment.

## TRANSACTIONS WITH RELATED PARTIES

On January 2, 2008 Maple Leaf repaid the swap receivable to the Company for net proceeds of $80.6 million.

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, provision of stock awards program, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $15.8 million to Maple Leaf during 2007 (2006: $8.3 million). The change reflects the increased size of the Company and an increase in the level of services provided by Maple Leaf.

During 2007, the Company received certain information system services from Maple Leaf for a cost of $8.0 million (2006: $6.9 million).

During 2007, the Company received certain engineering services from Maple Leaf for a cost of $0.8 million (2006: $0.8 million).

On October 2, 2006 the Company acquired the shares of Royal Touch Foods Inc. ("Royal Touch"), a pre-packaged sandwich supplier based in Toronto, Ontario for $8.1 million net of cash acquired of $0.8 million. Canada Bread purchased 50% of the Royal Touch shares from Maple Leaf Foods and acquired the remaining shares from an unrelated third party for the same price. During the second quarter of 2007, the purchase price allocation was finalized. The difference between these adjustments and the carrying amount of the investment held by Maple Leaf of $0.1 million is recorded as a reduction in retained earnings in 2007.

## CAPITAL RESOURCES AND LIQUIDITY

The bakery industry is generally characterized by high sales volumes and rapid turnover of inventories and accounts receivable. Investment in working capital is also affected to some extent by fluctuations in the prices of raw materials, seasonal and other market-related fluctuations.

Historically, the Company has consistently generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding required for its strategic investing activities.

### Cash Flow from Operations

The Company continued to generate strong operating cash flow in 2007 of $122.1 million compared to $106.3 million last year. The increase resulted from an increase in net earnings.

## Capital Expenditures

Capital spending for the year was $85.7 million compared to $48.0 million last year. Investments in the year included a substantial expansion in capacity at the U.K. bagel and croissant facilities and the construction of a new warehouse at the Company's bakery in Roanoke, Virginia.

## Debt Facilities

To provide additional liquidity, the Company and its subsidiaries had aggregate credit facilities (excluding accounts receivable securitization programs) of $289.8 million (2006: $293.3 million), of which $134.6 million (2006: $116.6 million) was utilized (including $8.8 million in respect of letters of credit) at December 31, 2007 (2006: $9.4 million).

The Company has a $250.0 million revolving term facility with Maple Leaf, maturing on December 27, 2008. In addition, the Company has an operating line of credit of £5.0 million to provide short-term funding for its U.K. operations.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility. At year end, the Company had $70.0 million (2006: $70.0 million) trade accounts receivable being serviced under this facility. This facility is accounted for as an off-balance sheet transaction under Generally Accepted Accounting Principles.

Details of these facilities are described in Notes 3 and 8 to the Consolidated Financial Statements.

## Contractual Obligations

The following table provides payment information as at December 31, 2007 about certain of the Company's material contractual obligations:

| | | Payments due by fiscal year | | | | | |
|---|---|---|---|---|---|---|---|
| ($ millions) | Total | 2008 | 2009 | 2010 | 2011 | 2012 | After 2012 |
| Long-term debt | 107.6 | 107.6 | - | - | - | - | - |
| Lease obligations | 51.1 | 13.7 | 10.9 | 7.2 | 5.7 | 5.1 | 8.5 |
| Cross-currency swap | (80.6) | (80.6) | - | - | - | - | - |
| Total contractual obligations | 78.1 | 40.7 | 10.9 | 7.2 | 5.7 | 5.1 | 8.5 |

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program. As at December 31, 2007, the Company was in compliance with all debt covenants. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

## DERIVATIVES

The Company uses derivatives and other non-derivative financial instruments to manage its exposure to changes in interest rates, foreign exchange rates and commodity prices (primarily wheat prices).

The Company manages its exposure to changes in interest rates by using a mix of fixed and variable rate debt and utilizing interest rate swaps as necessary to achieve the desired proportion of variable to fixed-rate debt. As at December 31, 2007, 37.3% (2006: 42.2%) of the Company's exposure to interest rate fluctuations was hedged or fixed.

The Company's foreign exchange risk management includes the use of forward foreign exchange contracts, cross-currency interest rate swaps and foreign-currency denominated debt to reduce exposures related to changes in foreign exchange rates arising from transactions in currencies other than the Canadian dollar.

The Company uses long-term contracts with suppliers and exchange-traded futures and options to reduce price fluctuations in raw material purchases.

All hedging and derivatives activity is governed by risk management policies that specify the type of allowed hedging instrument, maximum exposures and the allowable hedge activity. Maple Leaf Foods, Inc. is counterparty to the Company's non-exchange-traded derivatives.

If the Company had not entered into these contracts, operating earnings for the year would have been lower by $5.7 million (2006: lower by $0.3 million) and interest expense for the year would have been lower by $4.2 million (2006: higher by $3.4 million).

Since January 1, 2007 all derivatives (whether designated in hedging relationships or not) are carried on the balance sheet at fair value unless they are exempt from derivative treatment based upon expected purchase, sale or usage requirements. Derivatives are reported as assets where they have a positive fair value and as liabilities where they have a negative fair value. The accounting for changes in the fair value of a derivative depends on whether it has been designated in a hedging relationship and on the type of hedging relationship. For details on the accounting for these instruments see Note 9 to the Consolidated Financial Statements.

## SHARE CAPITAL AND DIVIDENDS

During 2007 and 2006, the Company declared an aggregate yearly dividend of $0.24 per common share. This represents aggregate dividend payments of $6.1 million in each of 2007 and 2006.

As of February 15, 2008 there were 25,416,812 common shares of the Company issued and outstanding.

## ENVIRONMENT

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Environment, Health and Safety Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. However, there can be no assurance that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to, additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

As a food company, there are health, environmental and social issues that go beyond short-term profitability that Management believe must shape our business if we are to realize a sustainable future. On the environmental front, we are undertaking multiple initiatives in conjunction with key customers to reduce packaging and improve its recyclability, track our greenhouse gas emissions and the miles it takes to produce and deliver food products. Increasingly and importantly, sound environmental practices are becoming a key component of maintaining a competitive advantage. In 2008, we are undertaking a comprehensive planning process to measure our environmental footprint, coordinate cross-company mitigation activities and define our longer-term environmental objectives.

## RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this report. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

### Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems and by maintaining prudent levels of insurance.

The Company's facilities are subject to audit by federal health agencies in Canada and similar institutions outside of Canada, and performs its own audits to ensure compliance with its internal standards, which are generally at or higher than regulatory agency standards. However, the Company cannot guarantee that compliance with procedures and regulations will necessarily mitigate the risks related to food safety.

### Standardized and Shared Systems and Processes

In 2006, the Company began a process to standardize core operational and financial processes and supporting systems across the Company as a foundation to establish a multi-functional shared service organization expected to provide lower cost, value-added services for all the Company's business operations. Poor design or execution of these changes, disruptions to and diversions of the Company's management resources or poor implementation of the information technology systems required to support the new structure could result in the project not achieving the objectives in the longer-term and may also negatively impact the Company's performance in the shorter-term. Any of the foregoing could result in a material adverse effect on the Company's financial condition and results of operations.

### Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to foreign currencies (primarily U.S. dollars). Due to the diversity of the Company's operations, normal fluctuations in other currencies do not generally have a material impact on the Company's profitability in the short-term due to either "natural hedges" and offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or ability in the near term to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs. The Company's earnings related to the U.K. may also be affected, adversely or favourably, by foreign currency translation.

### Commodities

The Company is a purchaser of certain commodities, such as wheat and natural gas, in the course of normal operations. Commodity prices are subject to fluctuation and such fluctuations are sometimes severe. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term but such hedges may not be successful in mitigating this commodity price risk. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the price it charges to its customers. Any fluctuations in commodity prices that the Company is unable to properly hedge or mitigate could have a material adverse effect on the Company's financial condition and results of operations.

### Regulation and Legal Matters

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates, including the Canadian Food Inspection Agency and the Ministry of Agriculture in Canada. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain material compliance with all laws and regulations and maintains all material permits and licences relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations or that it will be able to comply with such laws and regulations in the future. Failure by the Company to comply with applicable laws and regulations could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues or food ingredients, food safety and market and environmental regulation that, if adopted, may increase the Company's costs. If any of these or other proposals are enacted, the Company could experience a disruption in supply and may be unable to pass on the cost increases to its customers without incurring volume loss as a result of higher prices.

In the normal course of its operations, the Company becomes involved in various legal actions. The Company believes that the resolution of these claims will not have a material effect on the Company. However, the final outcome with respect to actions outstanding, pending or with respect to future claims cannot be predicted with certainty. Therefore, there can be no assurance that their resolution will not have a material adverse effect on the Company's financial condition or results of operations.

### Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages, and negative publicity to the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply

with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites or to other matters or sites will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of wastes which are or may be considered hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material adverse effect on the Company's financial condition and results of operations.

### Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and changing customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

### Consumer Trends

Success of the Company depends in part on the Company's ability to respond to market trends, produce innovative products that anticipate and respond to the changing tastes and dietary habits of consumers. From time to time, certain products are deemed more healthy or less healthy and this can impact consumer buying patterns. For instance, there was a "low carb" trend a number of years ago that, in the short-term, diverted customers away from the Company's pasta products. The Company's failure to anticipate, identify or react to these changes or to innovate our products could result in declining demand for the Company's products, which in turn could cause a material adverse effect on the Company's financial condition and results of operations.

### Employment Matters

The Company and its subsidiaries have approximately 8,400 full and part-time employees, which include salaried and union employees, many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each of which with differing employment laws and practices and differing liabilities for employment violations, which may result in punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have a material adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations.

## CRITICAL ACCOUNTING ESTIMATES

The preparation of the Company's consolidated financial statements requires Management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with Management's understanding of current facts and circumstances. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require a significant or complex judgement on the part of Management.

The following is a summary of certain accounting estimates or policies considered critical by the Management of the Company.

### Goodwill and Intangible Valuation

Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the fair value of a reporting unit has been impaired. In performing this test the Company assesses the fair value of its various reporting units. Indefinite life intangibles are tested for impairment annually in the fourth quarter and as required if events occur that indicate that it is more likely than not that the carrying value has been impaired. In testing goodwill and intangibles for impairment in 2007, no impairment was noted.

### Reserve for Bad Debts

The Company establishes an appropriate provision for non-collectible or doubtful accounts. Estimates of recoverable amounts are based on Management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial condition.

### Provisions for Inventory

Management makes estimates as to the future customer demand for the Company's products when establishing the appropriate provisions for inventory. In making these estimates we consider the life of the product, the profitability of recent sales of the inventory, and changes in customer mix.

### Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts, which includes payments upon attainment of certain sales volumes. Significant estimates used to determine these liabilities include the level of customer performance and the historical promotional expenditure rate versus contracted rates.

### Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and Management's best estimate of expected plan investment performance of 7.5%, salary escalation of 3.5%, retirement ages of employees and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities.

A 1% change in health care cost trend would not have a significant impact on the year end obligation or the 2007 current service and interest costs.

### Taxes

The provision for income taxes is based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgement is required in determining income tax provisions and in evaluating tax positions. The Company establishes additional provisions for income taxes when, despite the belief that existing tax positions are fully supportable, there remain certain tax positions that may be reviewed and reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances. The tax provision includes the impact of changes to accruals that are considered appropriate.

### Restructuring and Other Related Costs Reserves

The Company evaluates accruals related to restructuring and other related costs at each reporting date to ensure that these accruals are still appropriate. In certain instances, Management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring and other related activities. In certain circumstances, Management may determine that certain accruals are insufficient as new events occur or as additional information is obtained.

## CHANGE IN ACCOUNTING POLICIES

Effective January 1, 2007 the Company adopted the new Canadian accounting standards for financial instruments. The adoption of these new standards requires the Company to present a new balance sheet account called Accumulated Other Comprehensive Income (Loss). This account includes (i) unrealized foreign currency translation adjustments, and (ii) unrealized gains (losses) on cash flow hedges net of tax. On transition, the Company recorded $0.2 million in accumulated unrealized losses related to cash flow hedges as at January 1, 2007. In accordance with the standard $5.3 million, which had previously been classified as unrealized foreign currency adjustment, is now presented within Accumulated Other Comprehensive Loss.

During 2007, the Company recorded other comprehensive loss of $30.8 million, primarily related to fair value changes in cash flow hedges of interest rate exposures offset by changes in unrealized foreign currency translation adjustments. As at the end of the year, the accumulated other comprehensive loss balance was a loss of $36.2 million.

## RECENT ACCOUNTING PRONOUNCEMENTS

### Goodwill and Intangible Assets

In 2008, the CICA issued Handbook Section 3064 ("CICA 3064"), "Goodwill and Intangible Assets". CICA 3064 replaces Section 3062, "Goodwill and Intangible Assets", and Section 3450, "Research and Development Costs". It establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. This new standard is effective for the Company's interim and annual consolidated financial statements commencing January 1, 2009. The Company is currently assessing the impact of the new standard.

### Inventories

In May 2007, the Canadian Accounting Standards Board issued Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and converges with international accounting standards. The standard is effective for interim and annual periods relating to fiscal years beginning on or after January 1, 2008. The Company does not expect that the adoption of this standard will have a material impact on the financial statements.

### Capital Disclosures

In October 2006, the Canadian Accounting Standards Board issued Section 1535, "Capital Disclosures", which requires entities to disclose qualitative information about their objectives, policies and process for managing capital. This standard is effective for fiscal periods beginning on or after October 1, 2007. The Company does not expect that the adoption of this standard will have a material impact on the financial statements.

### Financial Instruments

In December 2006, the Canadian Accounting Standards Board issued Section 3862, "Financial Instruments Disclosures" and Section 3863, "Financial Instruments – Presentation", which replaces Section 3861, "Financial Instruments – Disclosure and Presentation". The new disclosure standards increase the emphasis on the risks associated with both recognized and unrecognized financial instruments and how those risks are managed. The new presentation standards carry forward the former presentation requirements and are effective for fiscal years beginning on or after October 1, 2007. The Company is currently assessing the impact of the new disclosure standard.

## DISCLOSURE CONTROLS AND INTERNAL CONTROLS OVER FINANCIAL REPORTING

The Company's disclosure controls and procedures were designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is made known to Management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation. The Company's Chief Executive Officer and Chief Financial Officer have evaluated the effectiveness of the Company's disclosure controls and procedures as of December 31, 2007 and have concluded that such disclosure controls and procedures are effective.

The Company's Management, under the direction and supervision of the Chief Executive Officer and Chief Financial Officer, are also responsible for establishing and maintaining internal control over financial reporting. These controls were designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with Canadian GAAP. There have been no changes in the Company's internal control over financial reporting during the year ended December 31, 2007 that have materially affected, or are reasonably likely to materially affect its internal control over financial reporting.

## SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information for the eight interim periods ended December 31, 2007 (in thousands of dollars except per share information):

| | | First Quarter | Second Quarter | Third Quarter | Fourth Quarter | Total |
|---|---|---|---|---|---|---|
| Sales | **2007** | **$ 358,337** | **$ 375,723** | **$ 385,849** | **$ 393,270** | **$ 1,513,179** |
| | 2006 | 301,564 | 335,545 | 342,344 | $ 355,479 | $ 1,334,932 |
| Net earnings | **2007** | **$ 17,910** | **$ 21,225** | **$ 21,087** | **$ 23,529** | **$ 83,751** |
| | 2006 | 19,397 | 22,880 | (2,715) | 13,988 | 53,550 |
| Earnings per Share | | | | | | |
| Basic EPS | **2007** | **$ 0.70** | **$ 0.84** | **$ 0.83** | **$ 0.93** | **$ 3.30** |
| | 2006 | 0.76 | 0.90 | (0.11) | 0.55 | 2.11 |
| Adjusted EPS[1] | **2007** | **$ 0.76** | **$ 0.84** | **$ 0.83** | **$ 0.88** | **$ 3.31** |
| | 2006 | 0.76 | 0.90 | 0.73 | 0.70 | 3.09 |
| Diluted EPS | **2007** | **$ 0.70** | **$ 0.84** | **$ 0.83** | **$ 0.93** | **$ 3.30** |
| | 2006 | 0.76 | 0.90 | (0.11) | 0.55 | 2.11 |

(1) Refer to Non-GAAP measures on Page 2.

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

## FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates, and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of appreciation of the Canadian dollar versus the U.S. dollar; the availability and saleability of prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts.

Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have on its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements include, among other things:

- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to the creditworthiness of customers to whom the Company extends credit;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the impact of international events on commodity prices and the free flow of goods;
- the risks associated with changes in the Company's shared systems and processes;
- the risks posed by compliance with extensive government regulation;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with a consolidating retail environment;
- the risks associated with the Company's outstanding indebtedness;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements.

The Company cautions you that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" on page 9 of this document. The reader should review such section in detail.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.